

Fuel for thought

The **sharp rebound** in paddy output this year **seems** to have **given** India's grain-based ethanol programme **a new lease of life**. Last week, the Centre more than doubled the quota of rice that the Food Corporation of India (FCI) can sell to ethanol distilleries to 5.2 million tonnes from the earlier **cap** of 2.4 million tonnes. This is a policy U-turn from two years ago when the government had to ban the **diversion** of FCI rice to ethanol after **dwindling** stocks risked a price **spiral**.

No doubt, the supply situation today is **a far cry** from what it was in July 2023. The Agriculture Ministry's third advance estimates **peg** India's rice production for 2024-25 at 149 million tonnes, up from 136-137 million tonnes in the previous two years. FCI carried rice stocks of about 37 million tonnes in its warehouses in June 2025 compared to 26 million tonnes in June 2023. Current FCI rice stocks are nearly three times **buffer stock** norms. However, comfortable supplies alone cannot be good enough reason to **divert** a widely consumed foodgrain for fuel.

The **use** of rice to meet India's fuel blending targets **is** problematic **on** several **counts**. For one, grain-based ethanol **distilleries** are wholly **reliant** on subsidised FCI supplies to **meet** their output targets. FCI has been **incurring** an economic cost of ₹41.73 per kilogram towards **procurement** and storage of rice. It is supplying rice to ethanol plants at just ₹22.5 per kg. The Centre has, in fact, had to **slash** the sale price from ₹28 per kg in January 2025 after distillers complained of the price being **unviable**. Since FCI's losses are directly funded by the government, the subsidy is effectively **borne** by taxpayers. Two, **purchases** of rice-based ethanol by Oil Marketing Companies (OMCs) **are** not **driven** by commercial **considerations** either. To encourage the ethanol economy, OMCs are required to lift fixed quantities from distilleries at government-determined prices.

The current OMC purchase price is at ₹57.9 per litre for rice-based ethanol after many increases over the years. The **argument** that diversion of "excess" rice by FCI to ethanol doesn't harm consumers or the poor **is** a bit thin too. State governments, co-operatives and community kitchens **seeking** to purchase rice for their public nutrition programmes compete with ethanol producers to buy rice under FCI's OMSS (open market sale scheme). Though they get rice at the same subsidised rate, the **quantities** they can procure are limited by quotas which **are** more **stringent** than those for ethanol. While foodgrain unfit for human consumption can be diverted to other uses, it is **unlikely** that the bulk of the rice sold under the FCI's OMSS **fits this description**. If India's fuel blending programme is to be **self-sustaining**, ethanol units need **predictable** feedstock availability, with the ability to be commercially **viable** without subsidies. **As things stand**, second-generation ethanol **projects** which **rely on** crop **residue** and agricultural waste as **feedstock** rather than food crops, **seem** a better fit for India.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

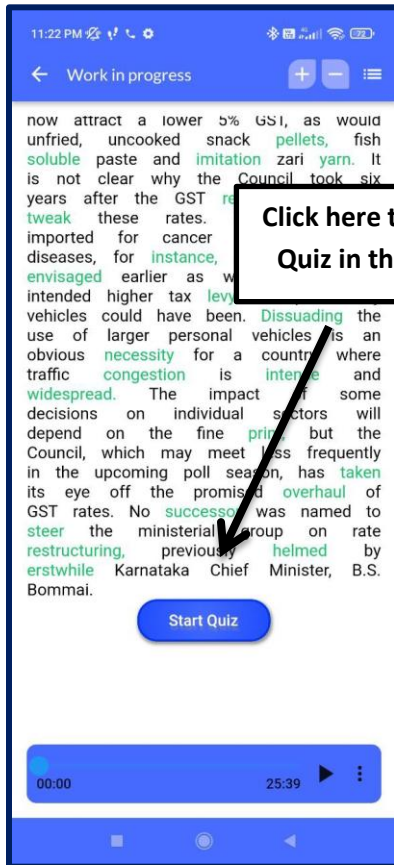
1. **Food/fuel for thought** (phrase) – something that warrants serious consideration.
2. **Sharp** (adjective) – Sudden, steep, intense, rapid, significant तीव्र
3. **Rebound** (noun) – Recovery, resurgence, revival, bounce-back, upturn पुनरुद्धार
4. **Give something a new lease of life** (phrase) – to make someone feel happy or healthy after a period of illness or sadness नया जीवन देना
5. **Cap** (noun) – Limit, ceiling, restriction, maximum, boundary अधिकतम सीमा
6. **Diversion** (noun) – Redirection, deflection, rerouting, deviation, shift मोड़
7. **Dwindle** (verb) – Decline, diminish, reduce, decrease, shrink घट जाना
8. **Spiral** (noun) – Escalation, surge, rise, increase, uptrend तेजी से बढ़ना
9. **A far cry** (phrase) – Very different, dissimilar, unlike, distinct, divergent बहुत अलग
10. **Peg** (at) (verb) – Fix, set, determine, estimate, assign तय करना
11. **Buffer stock** (noun) – a reserve of a commodity that can be used to offset price fluctuations. भंडारण आरक्षित
12. **Divert** (verb) – Redirect, shift, reallocate, repurpose, deflect मोड़ देना
13. **On several counts** (phrase) – In many ways, for many reasons, based on various factors, in multiple respects, from many angles कई कारणों से
14. **Distillery** (noun) – Brewery, alcohol plant, refinery, production unit, spirits factory मद्यशाला
15. **Reliant** (on) (adjective) – Dependent, trusting, conditioned, based on, counting on निर्भर
16. **Meet** (verb) – Fulfill, achieve, satisfy, accomplish, comply पूरा करना
17. **Incur** (verb) – Suffer, sustain, attract, experience, undergo वहन करना
18. **Procurement** (noun) – Acquisition, purchase, sourcing, obtainment, collection खरीद
19. **Slash** (verb) – Cut, reduce, lower, decrease, trim घटाना
20. **Unviable** (adjective) – Unsustainable, impractical, unworkable, infeasible, unprofitable असंभाव्य
21. **Bear** (verb) – Shoulder, carry, endure, absorb, take up वहन करना

22. **Drive** (verb) – Influence, motivate, power, propel, control प्रेरित करना
23. **Consideration** (noun) – Factor, reason, thought, aspect, element विचार
24. **Seek** (verb) – Pursue, request, ask for, strive for, look for प्रयास करना
25. **Stringent** (adjective) – Strict, tight, severe, rigid, harsh कड़ा
26. **Unlikely** (adjective) – Improbable, doubtful, questionable, implausible, far-fetched असंभावित
27. **Fits the description** (phrase) – Matches, corresponds, aligns, resembles, agrees with विवरण से मेल खाना
28. **Self-sustaining** (adjective) – Independent, self-sufficient, autonomous, stand-alone, viable आत्मनिर्भर
29. **Predictable** (adjective) – Expected, foreseeable, anticipated, reliable, consistent पूर्वानुमेय
30. **Viable** (adjective) – Feasible, workable, practical, profitable, sustainable व्यवहार्य
31. **As things stand** (phrase) – Currently, at present, as of now, in present circumstances, in current state वर्तमान स्थिति में
32. **Rely** (on) (verb) – Depend, trust, count on, lean on, be based on निर्भर रहना
33. **Residue** (noun) – Remains, leftovers, remnants, waste, byproduct अवशेष
34. **Feedstock** (noun) – raw material to supply or fuel a machine or industrial process. कच्चा माल

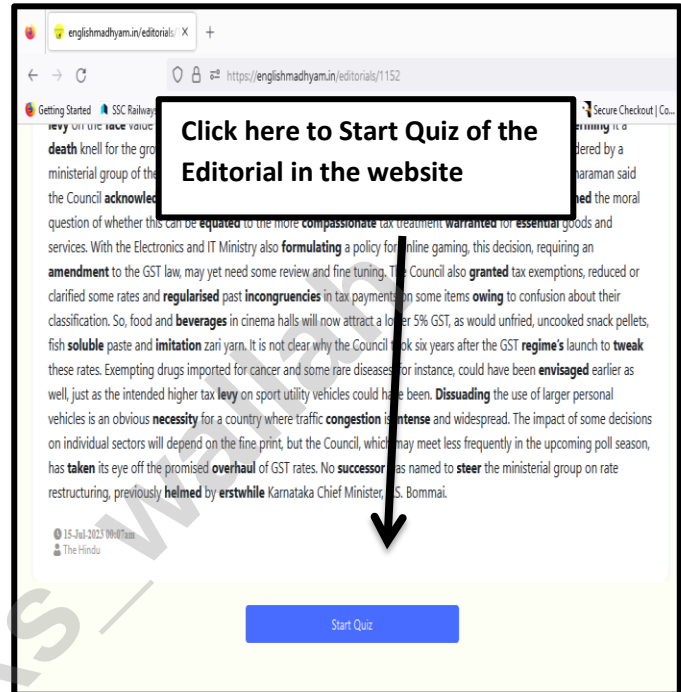
Summary of the Editorial

1. **Revival of Ethanol Programme** – A sharp increase in paddy output has revived India's grain-based ethanol initiative.
2. **Policy Reversal** – The Centre has more than doubled the rice quota for ethanol distilleries from 2.4 to 5.2 million tonnes, reversing a 2023 ban.
3. **Improved Rice Output** – Rice production for 2024–25 is estimated at 149 million tonnes, a significant rise from the previous years (136–137 million tonnes).
4. **FCI Stockpile Surge** – FCI's rice stock rose to 37 million tonnes in June 2025, compared to 26 million tonnes in June 2023.
5. **Excess Over Buffer Norms** – Current rice stocks are nearly three times the required buffer stock norms.
6. **Concerns Over Food Diversion** – Diverting foodgrain like rice to fuel production, even in surplus, raises ethical and economic concerns.
7. **Subsidy Dependence** – Grain-based distilleries depend on heavily subsidised FCI rice to function.
8. **High Economic Cost to FCI** – FCI's cost of procurement and storage is ₹41.73/kg, but it sells rice to ethanol units at ₹22.5/kg.
9. **Subsidy Burden on Taxpayers** – The price difference is covered by government subsidies, effectively funded by taxpayers.
10. **OMC's Non-commercial Procurement** – Oil Marketing Companies (OMCs) must buy ethanol at fixed government-set prices, not market-driven rates.
11. **High Ethanol Purchase Price** – The government-mandated OMC purchase price for rice-based ethanol stands at ₹57.9/litre.
12. **Public Schemes Affected** – State-run nutrition schemes compete with ethanol producers to procure rice under FCI's OMSS.
13. **Stricter Quotas for Welfare Schemes** – Public schemes face more stringent quotas than ethanol plants despite receiving rice at the same rate.
14. **Food vs Fuel Dilemma** – Most rice sold under OMSS is fit for consumption, not waste-grade, challenging its diversion to fuel.
15. **Call for Sustainable Alternatives** – The editorial recommends shifting to second-generation ethanol from agricultural waste, which is more sustainable and less reliant on food crops or subsidies.

Practice Exercise: Banking Pattern Based



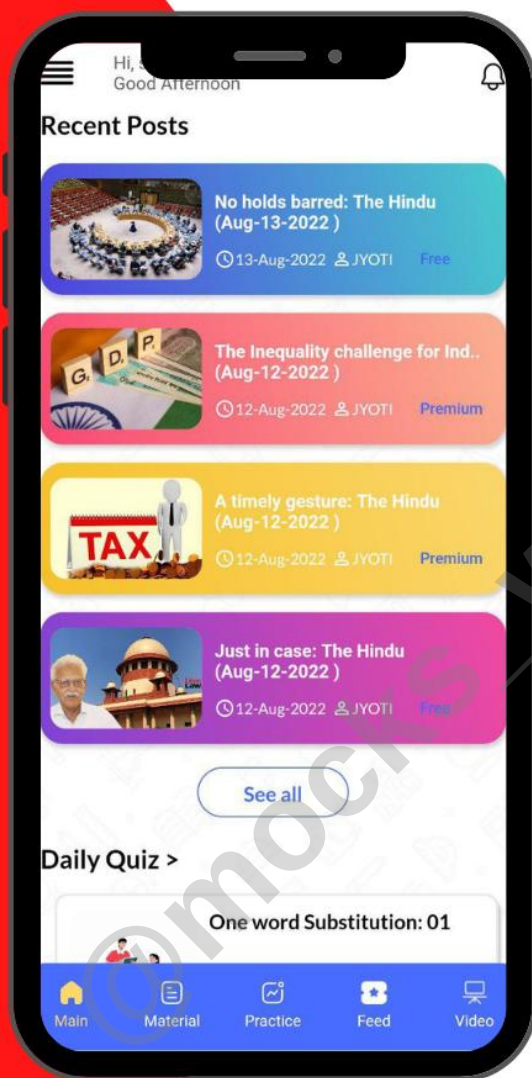
Click here to Start Quiz in the App



Click here to Start Quiz of the Editorial in the website

[Click here to download App](#)

[Click here to visit website](#)



Learn Vocabulary Through Reading Articles

English Madhyam